

From Social Justice to Developmental State

The Evolution of the Dravidian Model — and How Tamil Nadu Financed It (1967 → 2026)

A Finance-Portfolio Performance Report and Economic-Governance Case Study

Portfolio: Finance, Environment & Climate Change (Hon'ble Minister Thiru. Thangam Thennarasu) **Review period (detailed):** May 2021 – FY 2025-26, set within a 1967–2026 historical arc.

Prepared from: the Finance-portfolio departmental note; RBI *State Finances: A Study of Budgets*; an independent GSDP-performance column; the DMK IT Wing booklet *Thalainimirntha Tamil Nadu (2021–2026)*; and externally verified official sources (Economic Survey of Tamil Nadu 2025-26, TN Budget documents, NITI Aayog, TN Industries Department, PRS Legislative Research).

Central thesis: *Tamil Nadu's 2021–2026 experience suggests that social welfare and economic transformation are not competing goals; they reinforce one another when supported by fiscal capacity, state capacity, and industrial policy.* This report assembles the evidence, traces the institutional machinery, treats human capital as economic infrastructure, and reads the period as the latest phase in a sixty-year developmental trajectory.

Discipline note. Government projections, MoU commitments, contested figures, and out-of-period data are flagged throughout. Credibility before advocacy.

PART I — SNAPSHOT

1. Top 10 Finance-Portfolio Achievements

1. ₹31.19 lakh crore GSDP (2024-25), 11.19% real growth — fastest among states; first double-digit growth in 14 years.
2. Own-revenue self-reliance 75.3% (2025-26 BE) vs all-states 58.2%.

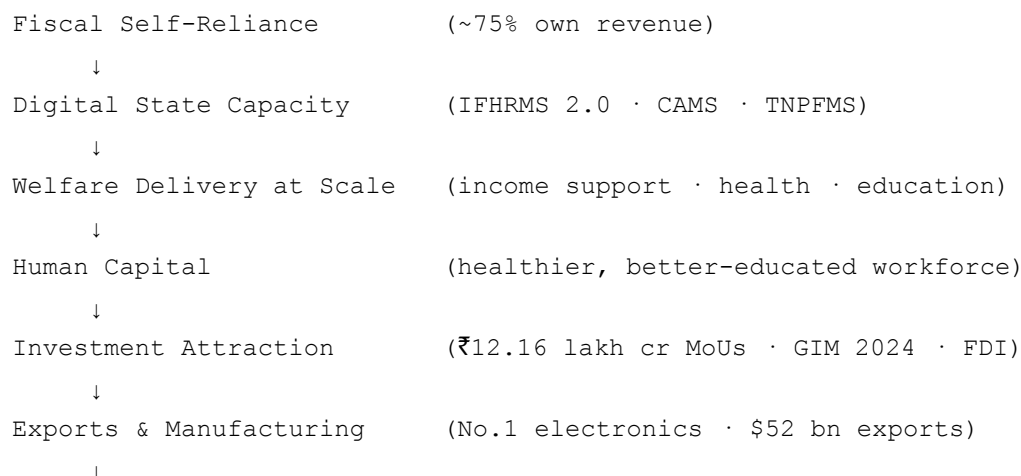
3. **India's No. 1 electronics-exporting state** — record **\$14.65 billion** (2024-25).
4. **Merchandise exports nearly doubled to \$52.07 billion**; No. 1 in electronics, textiles, leather.
5. **Per-capita income ₹3.62 lakh** — ~1.77× the national average.
6. **₹12.16 lakh crore investment MoUs since 2021** (~36.4 lakh jobs; ~80% under execution), incl. **₹6.64 lakh crore at GIM 2024**.
7. **IFHRMS 2.0 statewide** — 9.2 lakh employees, 7.4 lakh pensioners, RBI e-Kuber-linked.
8. **₹1,363 crore mobilised via TNIFMC** (Shelter, Emerging-Sector, Green Climate funds).
9. **Fiscal discipline** — deficit ~3% of GSDP; debt-to-GSDP ~26%, within FC limits.
10. **Audit modernisation (CAMS/APMS)** + layered workforce social security.

2. Executive Summary

Between 2021 and 2026, four reinforcing goals — **fiscal self-reliance, digital administration, social security, climate-aligned infrastructure finance** — underwrote a simultaneous expansion of welfare *and* investment. Tamil Nadu remained India's second-largest state economy, grew fastest among states, doubled merchandise exports, and became the leading electronics exporter, while deficits returned toward statutory norms. The report's distinctive claim is interpretive: 2021–2026 marks Tamil Nadu's maturation from a **social-justice state** and an **industrial state** into a **developmental state**, where welfare and growth compound.

3. The Tamil Nadu Model in One Diagram

(See accompanying graphic *TN_Model_Causal_Chain.svg*.)



Economic Growth (₹31.19 lakh cr GSDP · 11.2% growth)
└── feedback: growth replenishes own revenue ──┘

Each stage funds or enables the next; the final stage feeds back into the first.

PART II — THE EVIDENCE

4. Economic Transformation

GSDP ~₹17.9 lakh cr (2020-21) → **₹31.19 lakh cr (2024-25), 11.19% real growth** (highest among states); per-capita income **₹3.62 lakh** (~1.77× national); exports doubled to **\$52.07 bn** (No. 1 electronics/textiles/leather); electronics exports **\$14.65 bn**; manufacturing +14.74%, FDI **\$3.68 bn**. **EPI**: No. 1 (2022), No. 2 behind Maharashtra (EPI 2024, released Jan 2026). Poverty (National MPI) 4.76%→2.20% (2015-16 to 2019-21) — *mostly pre-tenure; not over-attributed*.

5. Fiscal Self-Reliance & Comparative Benchmark

Year	Tamil Nadu	Karnataka	Maharashtra	All States
2020-21	66.97	66.97	66.88	52.10
2023-24	73.01	75.69	75.06	57.82
2025-26 (BE)	75.31	76.79	74.98	58.17

Tamil Nadu funds ~three-quarters of revenue from own sources — ~17 points above the all-states average; the precondition for sustainable welfare and budget flexibility.

6. Creditworthiness & Fiscal Discipline

Fiscal deficit ~4.99% (2020-21 RE) → **3.0% (2025-26 BE)**; revenue deficit 3.28% → ~1.6%; debt-to-GSDP ~**26%** within FC limits; outstanding debt ₹9.29→9.52 lakh cr. *Absolute debt rose, but the ratio held as GSDP grew — sustainability is about the ratio.* (Indian states carry no standalone rating; creditworthiness = deficit path + debt sustainability + market access.)

7. GST & Revenue Mobilisation

The 75% ratio is the outcome; SGST + Commercial Taxes are the cause. Levers: **e-**

Challan/e-Receipt (24×7), RBI NEFT/RTGS instant credit, Commercial-Taxes/Excise integration — converting growth into real-time, leak-proof fiscal space. *Data gap: an SGST/SOTR collection-growth annexure would make this airtight.*

8. Industrial Depth as a Competitive Advantage

Tamil Nadu does not merely host factories — it hosts **entire industrial ecosystems** (OEMs + suppliers + logistics + skills co-located):

- **Automobile (“Detroit of India”)**: ~35% of India’s vehicle production; ~22 lakh auto jobs; exports to 100+ countries.
- **Electronics**: the cluster that made TN India’s No. 1 electronics exporter; the first State Electronics Components Manufacturing Scheme deepens local value-add (PCBs, displays, camera modules, sensors).
- **EV & batteries**: an emerging hub on the auto base (Hosur–Krishnagiri belt).
- **Engineering, textiles, leather**: No. 2 engineering exports; No. 1 textiles/leather — diversified, formal-sector-heavy baskets.
- **GCCs & services**: Chennai a leading Global Capability Centre and IT/fintech hub.

Ecosystems are *sticky*: suppliers, skills and logistics co-locate, raising the cost of exit and the depth of value capture — which is why the position is durable, not just a list of announcements.

9. District Evidence: Where the Transformation Is Visible

The state-wide story becomes concrete at the district level:

Place	Role	Marker
Sriperumbudur–Oragadam	Electronics + auto manufacturing belt	“iPhone city”; Hyundai + global electronics makers
Hosur (Krishnagiri)	Fastest-growing industrial town; EV/electronics/components	Bengaluru–Chennai corridor advantage
Chennai	Auto, IT/GCC, fintech; Avadi defence corridor	India’s “Detroit”; services depth
Coimbatore	Engineering, pumps/motors, MSME, textiles	Deep MSME + engineering base

Tiruppur	"Knitwear Capital of India" / "Dollar City"	~10 lakh jobs; ~90% of India's cotton-knitwear exports; ~₹45,000 cr business
Thoothukudi	Port, energy, export gateway	PM10 down ~45% (NCAP, 2021–25)

Honest note: this geography also carries external risk — in 2025, US tariffs stalled an estimated ₹1,500–2,000 crore of Tiruppur knitwear, a reminder that export-led clusters are exposed to global trade shifts.

10. Infrastructure Financing & Investment Attraction

- **TNIFMC (≈₹1,363 cr):** Shelter Fund ₹658 cr (17 Thozhi hostels / 1,800 beds); Emerging-Sector Seed Fund ₹105 cr (+₹200 cr); Green Climate Fund ₹100 cr (+₹300 cr).
- **Investment (2021–26): 1,176+ MoUs, ₹12.16 lakh cr (~\$136 bn),** ~36.4 lakh jobs, ~80% under execution (Conversion Conclave 2026: ₹12.37 lakh cr / 73.5% conversion). **GIM 2024:** ₹6.64 lakh cr, ~26.9 lakh jobs. *Committed MoUs, not realised — track conversion.*
- **TNIDB PPP/HAM/DBFOT pipeline; Chennai City Partnership** US\$701 m (World Bank + AIIB US\$150 m each). Target: **\$1 trillion economy by 2030.**

11. Heritage as Economic Policy

Archaeology as tourism, identity and livelihood: ₹16.93 cr conservation; **₹25 cr (2025–26);** Keeladi (₹3.8 cr) and Porunai (₹58.69 cr) museums; Mayiladumparai iron dated ~4,200 yrs (c. 2172 BCE); Gangaikonda Cholapuram maritime-trade evidence; 20,000+ inscriptions; four new district museums.

12. Climate Finance Leadership

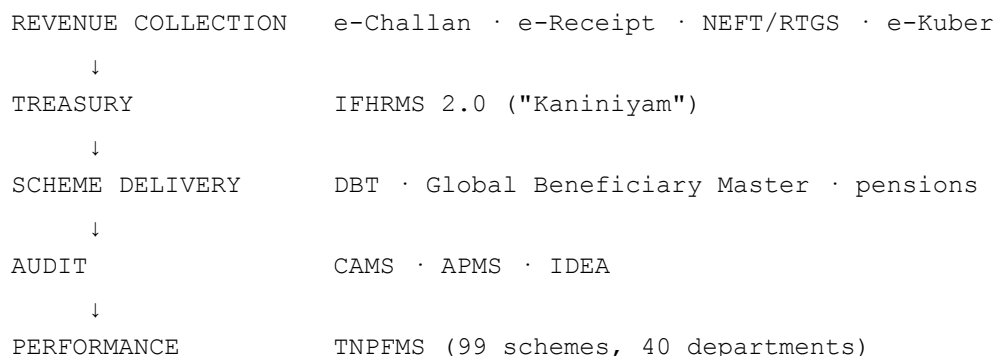
Climate as an **economic** portfolio: **TN Green Climate Fund** (SEBI 03.08.2023; ₹110 cr phase 1; 2.5 MMT target; net-zero-2070); **Emerging Sector Seed Fund** (13 startups, ₹30.1 cr); **District Climate Missions, Green Local Bodies (297), Green Fellows** (1,284+ campaigns); **Meendum Manjappai** (15 lakh+ bags); **TNPCB PM10 cuts** — Thoothukudi –45%, Trichy –18%, Madurai –18%, Chennai –12%.

PART III — THE INSTITUTIONAL MACHINERY (HOW)

13. Finance as the Enabler of Welfare

Higher own-revenue + digital treasury = welfare at scale. Flagships ride the rails Finance built — Magalir Urimai Thogai, Pudhumai Penn, Tamil Pudhalvan, CM Breakfast Scheme, Makkalai Thedi Maruthuvam, free bus travel — all via DBT/IFHRMS, funded by self-reliance. The state already administers 14 lakh Old-Age Pension and 8 lakh Muthulakshmi beneficiaries plus 9.2 lakh employees / 7.4 lakh pensioners: *welfare scaled up because the systems were built first.*

14. The State-Capacity Stack



Before → After: manual paper treasury, cash receipts, lagging audit, siloed monitoring → a unified, RBI-linked, real-time financial state.

- *Treasury detail:* Family Security Fund (₹50,000 payout; ₹121 cr cleared 25,000 claims); Employees' Medical Insurance 2021 (3,33,675 beneficiaries / ₹1,706.19 cr; extended 30.06.2026); Pensioners' 2022 (3,37,338 / ₹1,447.91 cr); Employee Account bank MoU (₹1 cr cover; ₹20.65 cr to 46 families).
- *Audit detail:* CAMS (15.04.2025), APMS (17.11.2025); 81,354 + 2,049 paras cleared; ₹528.41 cr fees; 53,280 milk co-operatives audited.

PART IV — THE HUMAN-CAPITAL ENGINE

15. Human Capital as Economic Infrastructure

Tamil Nadu's welfare schemes are not only social protection — they are **labour-market**

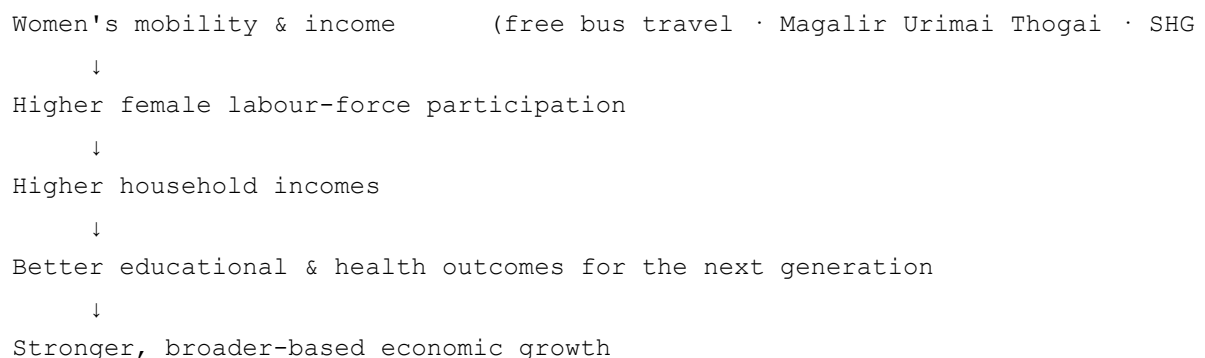
investments. *Roads move goods; human capital moves economies.*

- **CM Breakfast Scheme** — nutrition that protects early-years cognitive development and school attendance.
- **Pudhumai Penn & Tamil Pudhalvan** — monthly stipends that keep government-school students in higher education, widening the skilled-labour pool.
- **Naan Mudhalvan** — a flagship skilling platform aligning students with industry-relevant skills (the supply side of the manufacturing/services demand documented in Part II).
- **Higher-education expansion** — among the highest gross enrolment ratios in India, feeding engineering, electronics and services.

The argument: a deep industrial base (Part II) can only absorb labour if the workforce is healthy, educated and skilled. Welfare spending on nutrition, schooling, stipends and skilling is therefore an **input to growth**, building the human infrastructure that factories and GCCs draw on — exactly the link the causal chain (§3) formalises. *(To move this from plausible to proven, pair it with district-level enrolment, skilling-placement and labour-force-participation data — see §24.)*

16. The Women-Led Growth Story

Few state reports explain growth through a gender lens; in Tamil Nadu it is central. A distinct causal sequence is visible:



- **Free bus travel (Vidiyal Payanam)** lowered the cost and friction of women reaching work, training and markets.
- **Magalir Urimai Thogai** put cash directly with women heads of household, improving bargaining power and consumption stability.
- **Pudhumai Penn** raised girls' transition to higher education.
- **SHG financing** channelled credit to women entrepreneurs.

- **High female factory employment** in electronics and textiles (e.g., the largely women workforce of the Tiruppur and electronics clusters) connects women's labour directly to the export engine.

Women's mobility and income are not only equity goals — they are **growth inputs**, expanding the effective workforce and lifting household-level human-capital investment.

17. Why Welfare Did Not Crowd Out Growth

Critics assume *more welfare = less growth*. Tamil Nadu's record challenges this: both expanded together.

Welfare expansion	Simultaneous growth
Magalir Urimai Thogai	₹12.16 lakh cr investment MoUs
CM Breakfast Scheme	Exports doubled to \$52 bn
Free bus travel	No. 1 in electronics exports (\$14.65 bn)
Doorstep & insured healthcare	FDI \$3.68 bn; 11.2% real growth

The mechanism (not coincidence): welfare built **human capital** (§15–16); fiscal **self-reliance** funded it without crowding out capex; **state capacity** kept delivery efficient. Welfare behaves as an input to growth, not a drain.

PART V — INTERPRETATION & HISTORICAL SIGNIFICANCE

18. The 2021–2026 Inflection Point

Was this a post-pandemic rebound, or the start of a transition into a **high-technology industrial economy**? The evidence points to transition: electronics leadership + **component** manufacturing (moving up the value chain), an **EV/battery** ecosystem, **semiconductor/advanced-electronics ambitions** (early-stage), **GCC/digital-services** growth, **climate finance** as a new asset class, and sustained manufacturing expansion. Read together, the period looks less like recovery and more like a **structural turning point**.

19. An International Lens: Developmental-State Logic

Tamil Nadu's combination of **manufacturing + human capital + export orientation + an active state** echoes the logic of the East Asian developmental states — **South Korea** and **Taiwan**, and more recently **Vietnam** — which paired export-led industrialisation with heavy investment in education and health and deliberate industrial policy.

This is an analogy of logic, not a claim of equivalence. Important differences: Tamil Nadu is a **sub-national** economy inside India's federal and monetary framework — it does not control currency, tariffs or sovereign trade policy, and its scale and per-capita income are different. What the comparison illuminates is the *development model*: social investment and industrial policy as complements, sustained over time, generating export competitiveness. It also flags the same risks those economies faced — external-demand shocks (cf. the 2025 Tiruppur tariff episode), the need to keep climbing the value chain, and managing debt during the build-out.

20. The Evolution of the Dravidian Model: 1967 → 2026

The 2021–2026 record is best understood as the third phase of a sixty-year trajectory.

Phase 1 — The Social-Justice State (1967 onward). Rooted in the Self-Respect and Dravidian movements, the first DMK government (1967) institutionalised social justice: broad **reservation** (eventually ~69%), expanded **education access**, the **nutritious midday-meal** tradition (Kamaraj's scheme, universalised under MGR), and Tamil language and identity. The defining achievement was *inclusion* — widening who could participate in public life.

Phase 2 — The Industrial State (c. 1990–2020). Liberalisation-era industrialisation layered an economic base onto the social one: **SIPCOT** parks and industrial estates, the **automobile** cluster (the “Detroit of India”), the rise of **IT and services** in Chennai, and a dense **MSME** network. The defining achievement was *capacity* — building the factories, corridors and firms.

Phase 3 — The Developmental State (2021–2026). This report's subject: welfare *and* human capital *and* digital governance *and* exports *and* advanced manufacturing *and* climate finance, knit together by fiscal self-reliance and state capacity. The defining achievement is *synthesis* — making distribution and production reinforce each other.

The interpretation: *The Dravidian Model evolved from a social-justice project into a developmental-state project without abandoning its social-justice foundations. Each phase kept the previous one's gains and added a new capability — inclusion, then capacity, then synthesis.*

21. From Welfare State to Developmental State (Capstone)

Everything above supports one proposition:

Social welfare and economic transformation are not competing goals; they can reinforce one another when supported by strong institutions, fiscal capacity, and industrial policy.

A *welfare state* distributes. A *developmental state* distributes **while building productive capacity** — financing the social floor from its own revenue, delivering it through digital state capacity, converting it into human capital, and channelling that human capital into a deep industrial and export base. The Dravidian Model's claim to significance is not any single scheme or statistic; it is the demonstration that the two can compound. That is the proposition worth citing in any serious discussion of Tamil Nadu's development trajectory.

PART VI — FOR POLICY MAKERS

22. Observations & Recommendations

1. **Publish revenue outcomes** — an SGST/SOTR growth annexure to make the 75% claim self-evident.
2. **Lock in self-reliance structurally** — finish Transport/Registration/TANGEDCO/GST integration; quarterly receipts dashboard.
3. **Manage the debt narrative** — absolute debt up, ratio within limits; pair with the deficit path.
4. **Pre-fund social-security schemes** — actuarial corpus rules (the Family Security Fund needed a ₹121 cr bailout).
5. **Report realised investment** — a “committed → grounded → operational” scoreboard for the ₹12.16 lakh crore.
6. **Scale climate funds** toward the 2070 target with measured carbon outcomes.
7. **Track CAMS/APMS outcomes** — closure rates, recoveries, time-to-resolution.
8. **Be precise on rankings** (EPI No.1 2022, No.2 2024).
9. **Prove the human-capital thesis with micro-data** — district-level enrolment, *Naan Mudhalvan* placement rates, and female labour-force participation would convert §15–16 from plausible to proven.
10. **Build resilience into the export model** — the 2025 tariff shock shows the need for

market diversification and value-chain upgrading.

23. Data Caveats & Methodological Notes

- **Macro claims externally verified** (Economic Survey 2025-26, RBI, NITI Aayog, TN Industries Dept, PRS); the out-of-order departmental note was re-sequenced and de-duplicated.
- **Poverty (4.76%→2.20%)** is 2015-16 to 2019-21 — mostly pre-tenure; not over-attributed.
- **EPI:** No. 1 (2022), No. 2 behind Maharashtra (EPI 2024, released Jan 2026).
- **Investment (₹12.16 lakh cr; GIM 2024 ₹6.64 lakh cr)** are *committed MoUs*, corroborated by the Industries Department; track execution (~80%)/conversion (~73.5%).
- **Patherya GSDP-wealth figures** — independent nominal-dollar estimate; directional only.
- **District, industrial-ecosystem, inflection-point, international and historical chapters** are interpretive; firm/sector specifics are illustrative (confirm with Industries Department); the East Asia comparison is an analogy of logic, not equivalence.
- **The 1967–2026 phase framing** is an interpretive lens; phase boundaries are approximate, and developments overlap across phases.
- **Departmental-note inconsistencies:** Family Security Fund ₹125 cr (sidebar) vs ₹121 cr (body); some treasury-building costs mis-transcribed (likely crore); medical cover read as ₹5/10/20 lakh; TNIDB 2030 figure corrupted in extraction.
- **Currency** in ₹ crore/lakh unless US\$ stated. Verify headline numbers against original budget documents before external citation.

Compiled for policy review. Accompanying graphic: TN_Model_Causal_Chain.svg (visualises §3). This edition adds the human-capital engine (Part IV) and the historical evolution of the Dravidian Model (Part V) to make the document intellectually distinctive, not merely comprehensive.